



AI Jargon Decoder

A Plain-English Reference Card for Real People

Congratulations on completing Module 1. You earned this.

1 The Basics

The words you hear most often, finally explained.

AI (Artificial Intelligence)

Software that can do tasks we normally associate with human thinking — like understanding language, recognizing faces, or making decisions. It's not magic, and it's not alive. It's a very sophisticated program.

ChatGPT

An AI chatbot made by OpenAI. One of the first AI tools most people ever tried. The "GPT" part refers to the type of technology under the hood.

Claude

An AI assistant made by Anthropic, a company focused on building AI safely. Similar to ChatGPT — you can have conversations with it, ask questions, and get help with writing or research.

Gemini

Google's AI assistant. Same idea as ChatGPT and Claude — a conversational AI — just built by Google and connected to Google's services.

Generative AI

AI that creates new things — text, images, music, video — rather than just analyzing existing data. ChatGPT, Claude, and image tools like DALL-E all fall under this umbrella.

Prompt

The message or instruction you type to an AI. "Write me a birthday card for my mom" is a prompt. The better your prompt, the better the response.

Model

The actual AI "brain" — the trained software that generates responses. When a company releases "GPT-4" or "Claude 3," they're releasing a new model. Think of it like a new edition of a textbook.

2 How It Works

You don't need to be an engineer to understand this. Promise.

LLM (Large Language Model)

The type of AI that powers most chatbots. It learned language by reading enormous amounts of text and learned to predict what words come next. "Large" means it has billions of internal settings tuned during training.

GPT

Stands for "Generative Pre-trained Transformer." Generative = creates new content. Pre-trained = learned from a huge dataset before you used it. Transformer = the architecture that makes it work. You don't need to memorize this.

Training Data

The massive collection of text, images, or content the AI learned from. If an AI seems to know a lot about cooking but not much about a recent event, it's because of what was (or wasn't) in its training data.

Neural Network

The structure inside an AI that loosely mimics how brain cells connect. Information flows through many layers of connections, and the AI adjusts those connections as it learns.

Machine Learning

AI that learns from examples rather than being given explicit rules. "If you see enough cat photos, learn what a cat looks like" — that's machine learning.

Deep Learning

A more advanced form of machine learning that uses neural networks with many layers. Most modern AI, including ChatGPT and image recognition, runs on deep learning.

Parameters

The millions (or billions) of internal settings inside a model, adjusted during training. More parameters generally means more nuance. "A 70 billion parameter model" describes its size and complexity.

Token

The small chunks AI breaks text into before processing. A token is roughly $\frac{3}{4}$ of a word. "Hello, how are you?" is about 6 tokens. AI tools often limit how many tokens you can use per conversation.

Context Window

The amount of text an AI can "see" at once during a conversation. If a conversation gets very long, the AI may "forget" earlier parts — because old text has left its context window.

Inference

When an AI uses its trained model to generate a response to your prompt. Training = the learning phase (expensive, done once). Inference = the using phase (happens every time you send a message).

Fine-tuning

Additional training on a specific, smaller dataset to make a model better at a particular job. Like sending a general assistant to a specialized workshop.

NLP (Natural Language Processing)

The field of AI focused on helping computers understand human language — reading, writing, summarizing, translating. Chatbots, spell-check, and voice assistants all use NLP.

3 What Can Go Wrong

Every tool has limits. Knowing these makes you a smarter user.

Hallucination

When an AI confidently states something that is completely made up. It might invent a fake study, a wrong date, or a person who doesn't exist — and sound totally sure. Always verify important facts from AI.

Bias (in AI)

AI can inherit prejudices from its training data. If the data over-represented certain groups or viewpoints, the AI's responses may reflect that unevenly. Not intentional — a side effect of learning from human content.

4 Buzzwords Decoded

Terms you'll see in headlines and tech conversations.

Open Source (AI)

The AI's code and sometimes the model itself is publicly available for anyone to use or modify. Examples: Llama (Meta), Mistral. Transparency is the main benefit.

Closed Source (AI)

A "black box" — the company controls it and doesn't share how it works. Examples: GPT-4 (OpenAI), Claude (Anthropic). Common for commercial products.

API

A way for one program to talk to another. When a business "uses AI via API," they've connected their app to an AI service. Think of it as a drive-through window — you order without going into the kitchen.

Still confused? That's completely normal.

AI terminology is genuinely messy — even people in the industry use these words loosely. The goal isn't to memorize every term. It's to feel less lost when you see them, and to know where to look when you need a refresher. Keep this card handy.

A free resource from **Epiphany Dynamics**



"Understanding AI starts with understanding the words."